

SEBI Case Study: Why Do 90% of Retail Traders Lose Money in the Stock Market?

A Data-Driven Root Cause Analysis

Scope

SEBI F&O Retail Trader Loss Analysis – Case Study covering Root Cause Analysis, Pareto Insights, Executive KPIs, KPI Analysis and Strategic Recommendations and Outcome Monitoring

89%

Retail F&O traders incur net losses annually

₹1.1L

Average annual loss per individual trader

7

Distinct root causes identified via MECE framework

80%

Of losses driven by just a handful of behaviours

Prepared By

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Despite Rising Market Participation, Retail Traders Are Losing at Scale

Despite increasing participation in India's capital markets, a significant majority of retail traders incur losses, particularly in the Futures & Options (F&O) segment. The pattern is systemic, repeatable, and data-substantiated by SEBI's own research.

Key Findings

Nearly **90% of retail F&O traders lose money** on a net basis after accounting for transaction costs.

A **small percentage consistently earn profits** – suggesting edge is achievable but structurally rare.

High trading frequency and excessive leverage are among the strongest predictors of amplified losses.

Transaction costs – brokerage, STT, and slippage – further erode already thin margins.

Objective

Identify the key drivers behind retail trading losses and recommend data-driven, actionable solutions that improve long-term trading outcomes for individual participants.

Methodology

MECE Root Cause Framework · Pareto (80/20) Analysis · Behavioural Pattern Mapping · KPI Definition

~91% of Retail Traders Generate Negative Net Returns

📄 **SEBI Reference:** 89% of individual F&O traders incurred losses, with average annual losses of approximately ₹1.1 lakh per trader.

1. No Clear Trading Plan

Trading without a proven and tested approach

- No clear rules for when to buy, sell, or exit
- Strategies are not backtested before using real capital
- Decisions based on guesses rather than data
- Frequently changing strategies without sufficient evidence

3. Emotional Trading

Making decisions based on emotions instead of the plan

- FOMO buying as prices rise and others profit
- Panic selling when prices fall sharply
- Holding losing trades on hope of recovery
- Revenge trading – increasing risk after a loss

5. Poor Trading Discipline

Knowing what to do but failing to follow it consistently

- Ignoring planned stop-losses or exit rules
- Taking too many unnecessary trades
- Entering trades without proper preparation
- Failing to review and learn from previous trades

7. External Market Risks

Factors outside the trader's direct control

- Sudden crashes or unexpected price movements
- Economic, political, or global events
- Market manipulation and social-media misinformation

2. Poor Understanding of the Market

Not fully understanding what is being traded

- Limited understanding of company fundamentals and valuation
- Misuse of charts and technical indicators
- Limited grasp of options, leverage, and complex products
- Failure to recognise changing market conditions

4. Poor Money & Risk Management

Taking more financial risk than the trader can handle

- Investing capital that cannot afford to be lost
- Over-concentrating in a single trade or stock
- Using excessive borrowed money or leverage
- No defined stop-loss or maximum drawdown limit

6. High Cost of Trading

Costs that gradually reduce trading profits

- Brokerage, taxes (STT, GST), and other charges
- Slippage losses from unfavourable execution prices
- Frequent trading amplifying total cost burden

Seven Root Causes of Retail Trading Losses

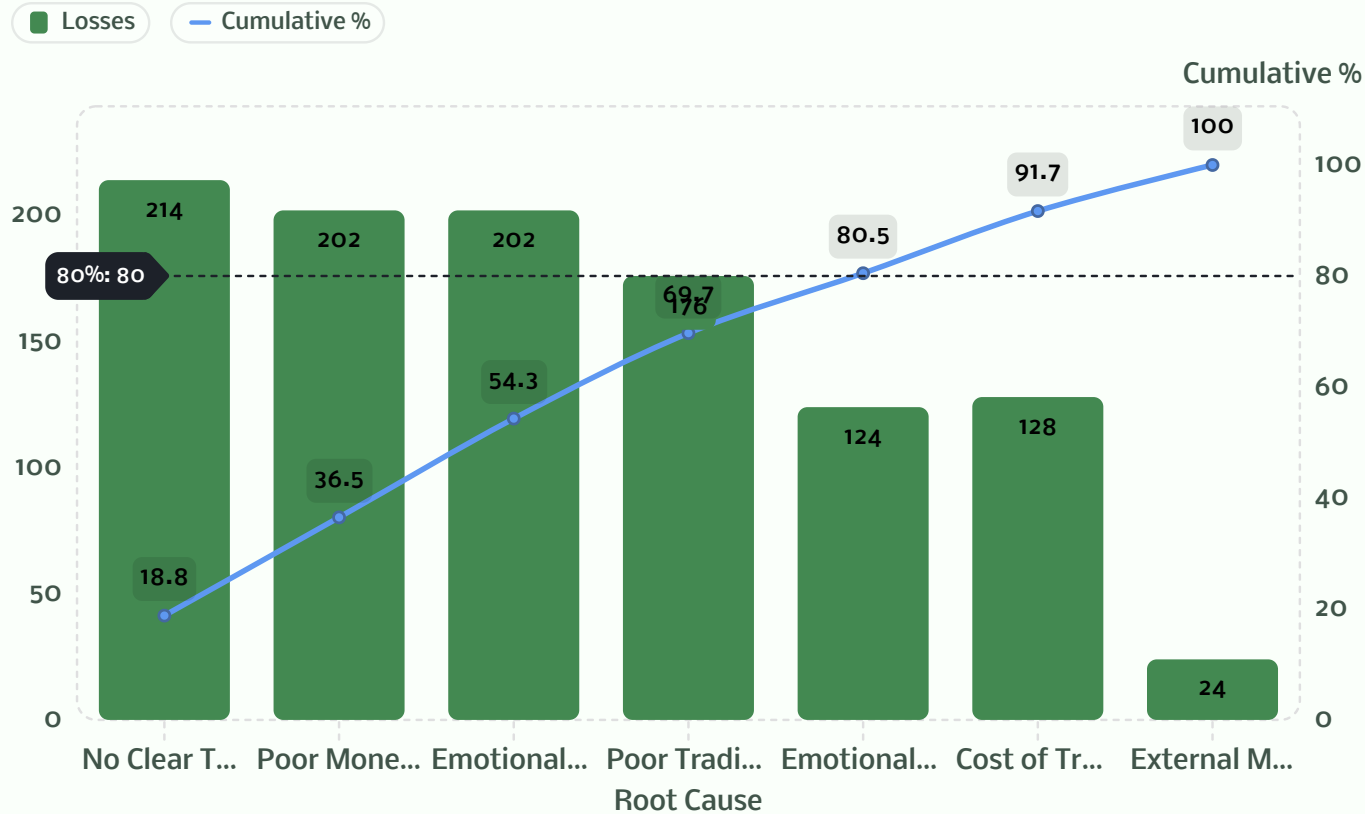
The following MECE tree decomposes the core problem – **negative net returns for ~91% of retail traders** – into seven mutually exclusive, collectively exhaustive root causes. Each cause is independently actionable and collectively accountable for each Major KPIs



80/20 Rule: A Small Number of Causes Drive the Majority of Losses

Approximately **80% of trading losses** are attributable to five dominant causes. Addressing these few factors can produce disproportionately large improvements in trader outcomes.

Pareto Chart: Trading Loss Causes



Key Insight

The major contributors are:

- No Clear Trading Plan
- Poor Money & Risk Management
- Trading Discipline
- Emotional Trading

These causes account for approximately 80% of overall defects and should be prioritized for corrective and preventive actions.

Priority Intervention Order

- No Clear Trading Plan
- Poor Money & Risk Management
- Trading Discipline
- Emotional Trading

Source:

☑ Trading Plan × RISK - REWARD → TRADING OUTCOME

Accuracy tells us how often we are right; Risk - Reward tells us how much we make when right. Both must be analysed together.

A/B Test: Accuracy vs Risk-Reward

Same win rate, different win size – different outcome.

Fixed Conditions

₹10,000 capital | 252 trades | ₹200 risk per trade | 1:1 risk-reward ratio

Scenario A — 30% Accuracy

76 wins | 176 losses

$76 \times ₹200 = ₹15,200$

$176 \times ₹200 = ₹35,200$

LOSS: ₹20,000

Scenario B — 50% Accuracy

126 wins | 126 losses

$126 \times ₹200 = ₹25,200$

$126 \times ₹200 = ₹25,200$

BREAK-EVEN: ₹0

✓ Improvement: **+₹20,000** vs Scenario A

Key Takeaway

- Higher accuracy improves results.
- 50% accuracy with 1:1 risk-reward only breaks even.
- Profit needs more than accuracy alone.

A/B Test: Does Win Size Matter?

Same win rate, different win size – different outcome.

Fixed Conditions

₹10,000 capital | 252 trades | ₹200 risk per trade | 30% win rate

Scenario A — 1:1

76 wins × ₹200 = **₹15,200**

176 losses × ₹200 = **₹35,200**

LOSS of ₹20,000

Scenario B — 1:3

76 wins × ₹600 = **₹45,600**

176 losses × ₹200 = **₹35,200**

PROFIT of ₹10,400

Key Takeaway

- Same win rate, different win size = different result.
- ₹200 wins per trade lose money.
- ₹600 wins per trade turn the setup profitable.

Behaviour vs. Profitability: Four Critical Relationships

The data reveals clear, directional relationships between specific trader behaviours and profitability outcomes. These are not correlations alone – they represent causal pathways supported by SEBI's own research findings.

↑ Trade Frequency

→ Lower Net Profit

Each additional trade increases total cost burden (brokerage, STT, slippage) while the probability of adverse outcomes compounds. High-frequency retail traders consistently underperform low-frequency counterparts on a net basis.

↑ Leverage Usage

→ Higher Drawdown

Leverage amplifies both gains and losses symmetrically – but behavioural biases mean traders hold losing leveraged positions longer and exit winning positions too early. Result: asymmetric downside exposure.

↑ Emotional Decisions

→ Reduced Consistency

FOMO-driven entries and panic-driven exits produce erratic trade timing. Emotional traders systematically buy high and sell low, inverting the fundamental premise of profitable trading.

↑ Risk Management Quality

→ Higher Long-Term Success

Traders who define position size, set stop-losses before entry, and respect maximum drawdown limits demonstrate significantly improved survival rates and long-term return consistency.

- ❑ The profitable minority – roughly 11% of retail F&O traders – are distinguished primarily by disciplined risk management and lower trading frequency, not superior market prediction ability.

KPIs to Monitor Trading Health

Sustainable improvement in trading outcomes requires objective, measurable performance indicators. The following three KPIs provide a comprehensive view of trading quality, risk discipline, and capital preservation over time.

1

Optimised Constant Trading Strategy

A standardised, rules-based trading strategy that is rigorously backtested and applied consistently across market conditions. This KPI measures **strategy adherence rate** – the percentage of trades executed strictly in line with the defined plan, without discretionary deviation.

Target: $\geq 90\%$ plan adherence across all executed trades per month.

2

Average Risk-Reward Ratio

The ratio of potential profit to potential loss for each trade, measured consistently across the trading journal. A ratio above 1:2 (risking ₹1 to make ₹2) provides a structural edge even with a sub-50% win rate. This KPI monitors whether trades are being **entered with a positive expected value**.

Target: Maintain average Risk:Reward $\geq 1:2$ across all positions.

3

Maximum Drawdown Month-on-Month

The peak-to-trough decline in trading capital within each calendar month. Monitoring drawdown MoM ensures that a single bad period does not permanently impair capital. This is the primary **capital preservation metric** and the earliest warning signal of strategy breakdown or emotional trading episodes.

Target: Maximum monthly drawdown capped at $\leq 5\%$ of total trading capital.

Strategic Recommendations: Five Pillars of Improvement

Based on the root cause analysis and Pareto prioritisation, the following five interventions address the highest-impact loss drivers. These are sequenced for practical implementation.

1

Risk Management

Limit risk per trade to $\leq 1-2\%$ of capital. Define stop-loss level *before* entry – not after. Never move stop-losses to accommodate hope.

2

Reduce Overtrading

Focus exclusively on high-quality, pre-defined setups. Avoid impulsive trades driven by intraday noise or social-media tips. Fewer, better trades outperform frequent, reactive ones.

3

Trading Journal

Record every trade – entry, exit, rationale, emotion at the time, and outcome. Analyse patterns of mistakes monthly to drive measurable improvement in decision quality.

4

Structured Market Education

Fully understand derivatives mechanics before trading them. Study position sizing, probability of ruin, and expected value frameworks. Knowledge precedes capital deployment.

5

Performance Review

Weekly review of trade execution quality. Monthly KPI tracking across Risk-Reward, drawdown, and strategy adherence. Continuous feedback loop drives compounding improvement.

If Recommendations Are Followed: Expected Outcomes by Time Horizon

The interventions outlined are not theoretical – they address the measurable, data-backed root causes of retail trading losses. Implementation across three time horizons produces compounding benefits.



Conclusions: Trading Success Is a Process Problem, Not a Prediction Problem

The evidence from SEBI's data is unambiguous: most retail trading losses are driven not by market unpredictability alone, but by a concentrated set of controllable behavioural and structural failures.



Poor Risk Management

The single highest-impact lever – defines survival in markets.



Excessive Leverage

Amplifies losses asymmetrically; the most common path to account destruction.



Emotional Decision-Making

FOMO and panic systematically invert rational trade timing.



Overtrading

Increases cost drag while reducing signal-to-noise in decision-making.



Transaction Costs

Silently erode profitability; compounded by high-frequency behaviour.

"Success in trading is less about predicting the market and more about managing risk, maintaining discipline, and following a well-defined process."

The Profitable Minority Do This Differently

The ~11% of retail traders who generate consistent profits are not better at forecasting. They are better at **process adherence**, **loss limitation**, and **emotional regulation**. These are learnable, measurable skills – not innate talent.

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Data Source

SEBI Study on Profit and Loss of Individual Traders in Equity F&O Segment – Securities and Exchange Board of India